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Report Highlights:

FAS New Delhi expects India's peanut oilseed production to rise by 18 percent in marketing year (MY) 2024/2025 and reach 7.2 million metric tons (MMT) due to higher market prices, an increased planting area of 5.6 million hectares, and the use of high-yielding varieties that produced higher yields. Peanut oil production for MY 2024/2025 is revised higher at 1.35 MMT, considering edible oil demand in the domestic market and supported by higher crushing rates. Peanut meal production is increased to 1.6 MMT due to the demand in the animal feed industry. Soybean oil production is increased to 2.5 MMT due to more "crush-to-oil" availability. Post's forecast for MY 2024/2025 palm oil imports is revised to 8.9 MMT, due to the newly levied import duty on edible oils.

PEANUT OILSEED

PRODUCTION, SUPPLY AND DISTRIBUTION

Table 1: Oilseed, Peanut, Production, Supply and Distribution

Oilseed, Peanut	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	5800	5800	5500	5300	5300	5600
Area Harvested (1000 HA)	4960	4960	5000	4950	5500	5400
Beginning Stocks (1000 MT)	668	668	328	582	305	434
Production (1000 MT)	6300	6300	6000	6100	7100	7200
MY Imports (1000 MT)	4	3	2	2	2	2
Total Supply (1000 MT)	6972	6971	6330	6684	7407	7636
MY Exports (1000 MT)	1044	789	850	800	975	750
Crush (1000 MT)	3700	3700	3400	3400	3800	4100
Food Use Dom. Cons. (1000 MT)	1600	1600	1500	1700	1700	1735
Feed Waste Dom. Cons. (1000 MT)	300	300	275	350	575	575
Total Dom. Cons. (1000 MT)	5600	5600	5175	5450	6075	6410
Ending Stocks (1000 MT)	328	582	305	434	357	476
Total Distribution (1000 MT)	6972	6971	6330	6684	7407	7636
Yield (MT/HA)	1.2702	1.2702	1.2	1.2323	1.2909	1.3333
(1000 HA), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

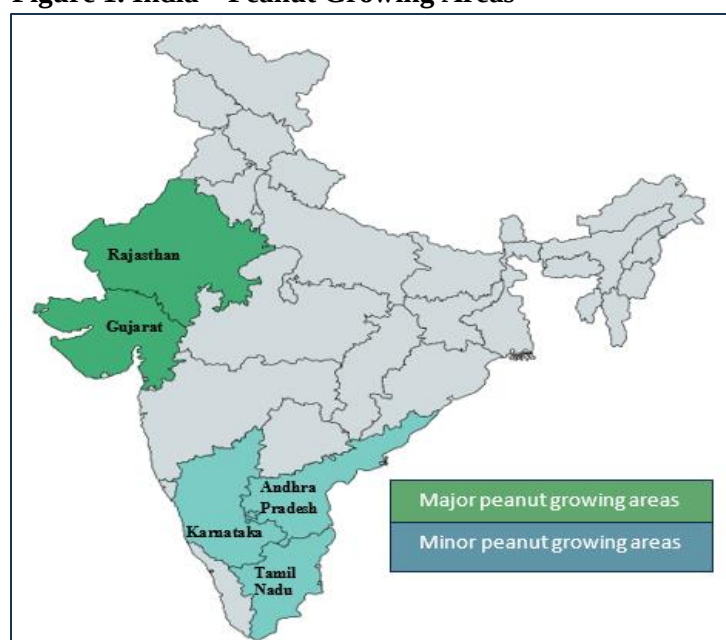
Data source for oilseed table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/24 are estimates.

PRODUCTION

MY 2024/2025 Sees Significant Production Increase: FAS New Delhi forecasts an 18 percent growth in peanut production for marketing year (MY) 2024/2025 at 7.2 million metric tons (MMT) compared to MY 2023/2024. The rise in production is driven by an increase in planting area to 5.6 million hectares (MHa) and an improved yield of 1.33 MT/Ha (**Table 1**).

The increase in the planting area is primarily due to the rise in demand for peanuts as an edible oil and the premium prices received by farmers owing to the increased consumption in the snacking category. Further, the nature of peanuts, which allow them to grow in semi-arid areas with limited water availability, motivated farmers to increase the planting area since water levels were depleting significantly until the arrival of the 2024 southwest monsoon from July to September 2024. What's more, the versatility in the oilseed as food and animal feed, serves as a more reliable alternative to cotton.

Figure 1. India – Peanut Growing Areas



Data Source: FAS New Delhi research

According to industry sources, the planting areas increased in both Gujarat and Rajasthan, the major peanut producing states in India (**Figure 1**). During post's crop tour in the aforementioned states, sources highlighted a sharp shift to peanuts from cotton due to cotton production challenges and a lower price realization for the commodity. The other driving factor for this crop shift was the expectation that the Indian government would levy import duties on edible oils to encourage domestic production. This came into effect on September 14, when the government of India announced an increase on duties for edible oil imports.¹

The policy change raised the import duty to 20 percent from zero percent for crude palm, soyabean and sunflower oil. The government also raised the duty of refined sunflower and soybeans oils to 32.5 percent from 12.5 percent to support the domestic oilseeds market. Previously, discounted imports of soybean, sunflower, and palm oils depressed domestic oilseed prices. As a result, over the past two years, farmers and traders have increased the oilseed holding stocks due to lower price realization in *mandis*² which was below the minimum support price (MSP). However, with the recent increase in the import duty, *mandi*'s returns from last year's oilseeds holding stock for soybean, groundnut, and rapeseed-mustard is expected to increase and lead to in higher availability of "crush-to-oil" to meet the domestic edible oil demand (See: [India: Oilseeds and Products Update](#)).

Furthermore, agricultural universities and research institutes are working on development and use of high-yielding-varieties (HYVs) of peanut to increase productivity, pest and disease resistance. According to field sources, the peanut variety, GJG 39, was sown mostly during *kharif* 2024 (June to October) which resulted in a higher yield and is resistant to fungal disease (**Figure 2**).

¹ "India raises import tax on edible oils, government order says". [Reuters](#); Published September 13, 2024.

² The local market is referred to as *mandi*

Figure 2. India – Peanut in Gondal (Rajkot District), Gujarat



Data source: FAS New Delhi Crop Tour in September 2024

Post also revised peanut production for MY 2023/2024 to 6.1 MMT, a three percent drop compared to MY 2022/2023 (**Table 1**). This was driven by a decrease in peanut acreage as cotton was the preferred crop in the previous MY due to higher prices.

MY 2024/2025 Planted and Harvested Area Revised Higher: Based on the above-mentioned observations and analysis, Post has raised the planted area for MY 2024/2025 to 5.6 million hectares (MHa), a six percent increase compared to the previous year, driven by the switch from cotton to peanut cultivation in the major growing areas. Government and trade sources also report higher planting of peanut during the *kharif season* (June to October). Simultaneously, the area harvested is estimated to increase by 9 percent for the current MY due to small incidences of disease and weather-induced losses in the late sowed peanut crops.

Post's MY 2023/2024 estimate for planting area is revised to 5.3 MHa because of a shift in that year's cropping patterns from peanut to cotton. Additionally, area harvested is slightly lowered to 4.9 MHa due to reported cases of pest infestation in Gujarat, and less rainfall in the peanut growing regions in the southern peninsula.

CRUSHING

MY 2024/2025 Crushing Revised Higher: Based on the higher peanut production forecast, Post revised crushing to 4.1 MMT, a growth of 20 percent compared to the previous year. Post attributes the increased crushing rate to the new import duty imposed on edible oils by the Indian government. The policy is expected to increase the domestic production of vegetable oils to meet the rising demand. Additionally, post expects the increased demand for peanut meal in the

animal feed industry will in turn increase crushing due to the affordability of the meal to the industry compared to other competing meals.

For MY 2023/2024, peanut oilseed crushing remains unchanged at 3.8 MMT.

CONSUMPTION

MY 2024/2025 Consumption Increased: Post's forecast for MY 2024/2025 peanut consumption is raised to 6.4 MMT, which is an 18 percent increase compared to the previous MY, highlighting an increased domestic demand. Peanuts are widely used as snacks and the demand is increasing yearly due to its nutritional benefits. Additionally, peanuts are highly versatile in nature as they can be roasted, fried, ground into a paste, used in snacks, or processed into oil, making them an adaptable ingredient for various culinary applications. Consumption of peanuts as processed food, mainly peanut butter, is also increasing due to a rise in disposable income and demand from the younger generation. Relatedly, the feed consumption is driven by waste from peanut production which includes fodder for cattle feeds.

TRADE

MY 2024/2025 Export Revised Lower: Post's forecast for MY 2024/2025 exports is revised to 750 thousand metric tons (MT), a six percent drop from the previous year. The reason for this decline is the push for more domestic edible oil, amidst the high import duties on soybean, sunflower, and palm oils. To achieve domestic supply goals, it is expected that there will be a reduction in the export of most oilseeds to meet the domestic 'crush-to-oil' demand.

Post's estimate for MY 2023/2024 exports is 800 thousand MT. From October 2023 until August 2024, India has exported 747 thousand MT. Indonesia, Vietnam, and Philippines are the major importers of Indian peanuts.

STOCKS

MY 2024/2025 and MY 2023/2024 Ending Stock Raised Higher: Post forecasts MY 2024/2025 ending stock at 476 thousand MT driven by an improved production year and higher yields.

Post also revised the estimate for MY 2023/2024 to 434 thousand MT as farmers held onto stocks for better market price realization. Peanut prices were comparatively low in the later part of 2023 due to a drop in demand for peanut derivatives in the export market and reduced demand from millers as imported edible oils were cheaper.

PEANUT OIL

Table 2: Oil, Peanut, Production, Supply and Distribution

Oil, Peanut	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	3700	3700	3400	3400	3800	4100
Extr. Rate, 999.9999 (PERCENT)	0.33	0.33	0.3303	0.3547	0.3305	0.3293
Beginning Stocks (1000 MT)	228	228	264	264	187	170
Production (1000 MT)	1221	1221	1123	1206	1256	1350
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	1449	1449	1387	1470	1443	1520
MY Exports (1000 MT)	125	125	175	180	100	100
Industrial Dom. Cons. (1000 MT)	10	10	10	10	10	10
Food Use Dom. Cons. (1000 MT)	1050	1050	1015	1110	1115	1159
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1060	1060	1025	1120	1125	1169
Ending Stocks (1000 MT)	264	264	187	170	218	251
Total Distribution (1000 MT)	1449	1449	1387	1470	1443	1520
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for oil table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/24 are estimates.

PRODUCTION

MY 2024/2025 Revised Higher and MY 2023/2024 Production Revised Lower: Post's forecast for MY 2024/2025 peanut oil production is revised to 1.35 MMT, a 12 percent increase from the previous year, due to strong demand in the domestic edible oil market that is being driven by a recent increase in import duties levied on edible oils (**Table 2**).

Post's estimate for peanut oil production MY 2023/2024 is revised to 1.2 MMT, a two percent decrease from the previous year due to low crush rates. There were cheaper imports of soybean and sunflower oil that reduced local demand for domestic production.

CONSUMPTION

MY 2024/2025 and MY 2023/2024 Consumption Revised Higher: MY 2024/2025 consumption is revised to 1.2 MMT, which is 9 percent higher than the previous year. There is an increase in retail demand for peanut oil due its low-fat saturation property. It is also used as traditional cooking oil in certain parts of the country. Additionally, its popularity as part of the culinary professional's portfolio, mostly in specialty restaurants in metro cities, is rising.

MY 2023/2024 peanut oil consumption remains unchanged at 1.1 MMT.

TRADE

MY 2024/2025 Export Remains Unchanged: MY 2024/2025 exports are estimated at 100 thousand MT and are expected to decrease from the previous MY. According to industry sources, traders and millers are likely to cater to the domestic demand for edible oils, as the increased import duty will eventually drive domestic retail oil prices. From October 2023 until August 2024, India exported 179 thousand MT of peanut oil globally. China is the largest importer at 173 thousand MT. However, traders anticipate that peanut production will increase in China compared to previous MY which might reduce the exports of Indian peanut oil to China.

STOCKS

MY 2024/2025 and MY 2023/2024 Ending Stock Raised Higher: Post has revised 2024/2025 ending stock to 1.2 MMT, driven by a higher production and yield.

MY 2023/2024 ending stock is revised to 1.1 MMT due to low crushing.

PEANUT MEAL

Table 3: Meal, Peanut, Production, Supply and Distribution

Meal, Peanut Market Year Begins	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	3700	3700	3400	3400	3800	4100
Extr. Rate, 999.9999 (PERCENT)	0.4189	0.397	0.4197	0.4118	0.4195	0.3902
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	1550	1469	1427	1400	1594	1600
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	1550	1469	1427	1400	1594	1600
MY Exports (1000 MT)	35	35	35	25	55	30
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	5	5	5	5	5	5
Feed Waste Dom. Cons. (1000 MT)	1510	1429	1387	1370	1534	1565
Total Dom. Cons. (1000 MT)	1515	1434	1392	1375	1539	1570
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	1550	1469	1427	1400	1594	1600
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for meal table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

PRODUCTION

MY 2024/2025 Production Revised Higher and MY 2023/2024 Revised Lower: Post's forecast for MY 2024/2025 peanut meal is raised to 1.6 MMT, which is a 14 percent rise compared to the previous MY. This growth is driven by demand in the animal feed and cattle

industry (**Table 3**). Post's estimate for MY 2023/2024 production is revised to 1.4 MMT due to less crushing. The rich protein content of peanut meal and its affordability in comparison to the volatile prices of soybeans and corn are the main drivers of its rising demand in India's animal feed industry. Additionally, peanut meal offers a locally produced, sustainable substitute from imported feed proteins, preserving supply chain and economic stability within India.

CONSUMPTION

MY 2024/2025 Consumption Revised Higher and MY 2023/2024 Revised Lower: Post expects MY 2024/2025 consumption to increase to 1.6 MMT, a 14 percent growth compared to the previous MY. During the post's crop tour, it was observed that the use of peanut meal in animal feed increased as a protein supplement. Industry sources also reported that the rising cost of soybeans and corn is causing a shift towards peanut meal. Post's estimate for MY 2023/2024 peanut meal consumption has been adjusted marginally to 1.4 MMT, which is 4 percent decrease from the previous MY. This is supported by low production and a reduction in the 'crush-to-meal' availability.

SOYBEAN OILSEED

Table 4: Oilseed, Soybean, Production, Supply and Distribution

Oilseed, Soybean Market Year Begins	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	13000	13000	13000	13000	13000	13000
Area Harvested (1000 HA)	13084	13084	13200	13200	13500	13500
Beginning Stocks (1000 MT)	1493	1493	1584	1584	934	1409
Production (1000 MT)	12411	12411	11875	12650	12582	12850
MY Imports (1000 MT)	702	702	700	700	500	500
Total Supply (1000 MT)	14606	14606	14159	14934	14016	14759
MY Exports (1000 MT)	22	22	25	25	25	25
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Food Use Dom. Cons. (1000 MT)	800	800	700	700	750	750
Feed Waste Dom. Cons. (1000 MT)	1900	1900	1200	1200	1300	1300
Total Dom. Cons. (1000 MT)	13000	13000	13200	13500	13050	13750
Ending Stocks (1000 MT)	1584	1584	934	1409	941	984
Total Distribution (1000 MT)	14606	14606	14159	14934	14016	14759
Yield (MT/HA)	0.9486	0.9486	0.8996	0.9583	0.932	0.9519

(1000 HA) ,(1000 MT) ,(MT/HA)

OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query](#)

Data source for oilseed table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

PRODUCTION

MY 2024/2025 and 2023/2024 Soybean Production Estimates Raised Marginally: Due to the favorable 2024 monsoon and expectation of continued normal weather conditions, post revised its MY 2024/2025 forecast for soybean oilseed production to 12.9 MMT.

Post also raised the MY 2023/2024 estimates for soybean oilseed production to 12.6 MMT, up by 2.7 percent compared to the previous MY (**Table 4**). Due to the delayed monsoon, the crop was planted later than planned; however, the third week of June saw enough rainfall to provide ideal soil moisture conditions from July to September 2023 (harvest time).

CRUSH

MY 2024/2025 and 2023/2024 Soybean Crushing Raised Marginally: Industry sources suggest that a good soybean production year supported by heavy import duties on edible oils will encourage oil millers to increase “crush-to-oil availability”.

STOCKS

MY 2024/2025 and MY2023/2024 Soybean Oilseed Ending Stock Revised: Post has revised the ending stock for MY 2024/2025 to 1 MMT. This is a significant reduction compared to MY 2023/2024 based on the market expectations that “crush-to-soybean oil” is likely to increase to meet the domestic demand, amidst the higher edible oil import duty. Similarly, post adjusted MY 2023/2024 soybean oilseed ending stock to 1.4 MMT, based on the holding of stocks by farmers and traders to achieve higher prices.

SOYBEAN OIL

Table 5: Oil, Soybean, Production, Supply and Distribution

Oil, Soybean	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Extr. Rate, 999.9999 (PERCENT)	0.18	0.18	0.18	0.181	0.18	0.2094
Beginning Stocks (1000 MT)	186	186	597	597	541	500
Production (1000 MT)	1854	1854	2034	2100	1980	2450
MY Imports (1000 MT)	3968	3968	3200	3271	3600	2900
Total Supply (1000 MT)	6008	6008	5831	5968	6121	5850
MY Exports (1000 MT)	11	11	15	18	15	20
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	5400	5400	5275	5450	5775	5600
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	5400	5400	5275	5450	5775	5600
Ending Stocks (1000 MT)	597	597	541	500	331	230
Total Distribution (1000 MT)	6008	6008	5831	5968	6121	5850
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for oil table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

PRODUCTION

MY 2024/2025 and MY 2023/2024 Soybean Oil Production Revised: Post forecasts MY 2024/2025 soybean oil production at 2.5 MMT, a 17 percent increase from the previous MY as the strong domestic demand for vegetable oil coupled with the newly implemented increased import duty on edible oils is expected to raise the domestic ‘crush-to-oil’ availability (**Table 5**). Post also revised MY 2023/2024 soybean oil production to 2.1 MMT which is 13 percent more than the previous year.

TRADE

MY 2024/2025 Soybean Oil Imports Revised Lower: Post lowered its forecast for MY 2024/2025 soybean oil imports to 2.9 MMT due to the imposed import duty on edible oil. Trade sources expect imports to decline by 1 MMT and to be supported by the sufficient production of domestic oilseeds.³ Favorable weather supported a good production year for the major oilseed crops like soybeans, peanuts, and rapeseed-mustard which is anticipated to increase the oil availability in the domestic market.

STOCKS

MY 2024/2025 Soybean Oil Ending Stock Revised Lower: Ending stock for MY 2024/2025 is revised lower to 230 thousand MT. This is due to the anticipated lower import volume of edible oils driven by the increased import duty.

SOYBEAN MEAL

Table 6: Meal, Soybean, Production, Supply and Distribution

Meal, Soybean Market Year Begins	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Extr. Rate, 999.9999 (PERCENT)	0.8	0.8	0.8	0.7793	0.8	0.7521
Beginning Stocks (1000 MT)	422	422	195	170	235	290
Production (1000 MT)	8240	8240	9040	9040	8800	8800
MY Imports (1000 MT)	29	29	50	50	50	50
Total Supply (1000 MT)	8691	8691	9285	9260	9085	9140
MY Exports (1000 MT)	1871	1871	1900	1820	1300	1300
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	400	425	450	450	475	475
Feed Waste Dom. Cons. (1000 MT)	6225	6225	6700	6700	7075	6900
Total Dom. Cons. (1000 MT)	6625	6650	7150	7150	7550	7375
Ending Stocks (1000 MT)	195	170	235	290	235	465
Total Distribution (1000 MT)	8691	8691	9285	9260	9085	9140

³ “India's veg oil imports likely to decline further in 2024-25, says SEA”. [Business Standard](#); Published on November 7, 2024.

(1000 MT) ,(PERCENT)

OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query](#)

Data source for meal table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

CONSUMPTION

MY 2024/2025 Soybean Meal Feed Waste Domestic Consumption Revised: Post has forecasted MY 2024/2025 soymeal feed consumption to increase by three percent compared to the current MY, due to its rising demand in the animal feed industry (**Table 6**). Industry sources, however, indicate that the forecast may be impacted by unpredictable soymeal pricing and uncertainty with the sustainability of the domestic supply chain.

TRADE

MY 2023/2024 Soymeal Export Revised Lower: Based on trade sources, post has revised MY 2023/2024 soymeal export to 1.8 MMT (October to September 2024). Exports fell slightly by 2 percent in March 2024 due to differential pricing between Indian and Argentinian soymeal (See: [India: Oilseeds and Products Annual](#)). However, export shipments picked up again through August 2024, followed by a decline in September 2024.

According to trade data, in comparison to September 2023, India's oil meal exports fell by 33 percent in September 2024. Total meal exports decreased by 9 percent year-on-year from April through September 2024, due to the decline in shipments, mainly rapeseed meal.⁴ October 2024 saw an increase in meal exports again due to soymeal, while rapeseed meal is still trending down.

STOCKS

MY 2024/2025 Soybean Meal Ending Stock Revised: Due to a favorable soybean oilseed production year, post estimates soymeal stocks for MY 2024/2024 to increase to 465 thousand MT. The increased ending stock can also be attributed to the rising cost of soymeal for the feed industry, which is likely to shift towards other economically viable substitutes.

For more information on soybean and derivatives, refer to [India: Oilseeds and Products Update](#).

⁴ “Export of oil meals from India drops 35 per cent in September”. [Economic Times](#): Published on October 15, 2024

PALM OIL

Table 7: Oil, Palm, Production, Supply and Distribution

Oil, Palm	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	129	129	129	129	129	129
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	972	972	2419	2419	2645	2394
Production (1000 MT)	305	305	305	305	305	305
MY Imports (1000 MT)	10045	10045	8800	8876	9900	8900
Total Supply (1000 MT)	11322	11322	11524	11600	12850	11599
MY Exports (1000 MT)	3	3	4	6	3	5
Industrial Dom. Cons. (1000 MT)	600	600	650	650	650	650
Food Use Dom. Cons. (1000 MT)	8300	8300	8225	8550	9800	8700
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	8900	8900	8875	9200	10450	9350
Ending Stocks (1000 MT)	2419	2419	2645	2394	2397	2244
Total Distribution (1000 MT)	11322	11322	11524	11600	12850	11599
Yield (MT/HA)	2.3643	2.3643	2.3643	2.3643	2.3643	2.3643
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for oil table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

TRADE

MY 2024/2025 Imports Revised Lower: Post’s forecast for MY 2024/2025 palm oil imports is revised to 8.9 MMT (**Table 7**). This is driven by the following:

- Malaysia’s benchmark palm oil price has increased substantially by 30 percent which is likely to impact India’s palm oil imports due to the country’s price sensitivities.⁵ Industry sources anticipate that the gap will be filled partially by imported soybean oil, and primarily by imported sunflower oil which is at a discounted price.
- According to industry sources, India’s domestic production of soybeans, peanuts, and rapeseed-mustard oilseeds will continue to increase due to introduction of high-yielding varieties by agricultural universities and research institutes, and favorable weather conditions. This will result in more domestic “crush-to-oil availability”, potentially

⁵ “India's September palm oil imports fell over 33% m/m”. [Economic Times](#); Published on October 11, 2024.

lowering the demand of imported edible oils to balance out the import duty induced price differences.

- Traders also suggest the import duty levied on edible oils will encourage a shift to domestic edible oils.

As such, Post's MY 2024/2025 palm oil import forecast is only 1 percent higher compared to the previous MY. This marginal growth is driven by the demand of palm oil in the food processing sector during the festive season in India.

India imported just under 8.9 MMT of palm oil in MY 2023/2024, which declined by 11 percent compared to the previous MY, due to cheaper imports of soybean and sunflower oil.

Specifically, sunflower oil imports increased by 17 percent for the current MY compared to MY 2022/2023 due to discounted prices. Additionally, palm oil imports reduced in August and September 2024. However, imports picked up in October 2024 by 58 percent due to strong festive demand and to restock supplies that had been relatively low in recent months.

CONSUMPTION

MY 2024/2025 Food Consumption Revised Lower and MY 2023/2024 Revised Higher:

Post's MY 2024/2025 palm oil food consumption is revised lower to 8.7 MMT, to adjust with the market realities. This is a three percent increase from MY 2023/2024 supported by the demand in the processed foods sector.

STOCK

MY 2024/2025 and MY 2023/2024 Stock Revised Lower: Post's MY 2024/2025 palm oil ending stock is revised down to 2.2 MMT considering the expectation of lower imports during the forecast year and a stable demand in consumption.

Simultaneously, MY 2023/2024 ending stock is lowered to 2.4 MMT due to reduced imports compared to the previous year and an increased demand in consumption.

Attachments:

No Attachments